

giving them significant price discounts, to purchase exclusively from the owners of dealerships, or to buy from dealers who do business with them. On the other hand, they are much more likely to take weeks—even months—”to shop around for the very best deal,” demand a “dealer-cost” or “below-cost” price, or “purchase a new model that is heavily discounted and resell it within a year or two at nearly the same or higher price.”

BIDDING FOR YOUR BUSINESS

If you dread the thought of shopping in person for your next motor vehicle, consider an alternative method. Mr. Mark R. Stuart is a friend of ours who has purchased many motor vehicles by visiting competing dealers. But he had never purchased a sports utility vehicle until this year. Although he lacked experience with buying this kind of vehicle, he thought of a way to avoid spending countless hours visiting competing dealers. Below is the fax that Mr. Stuart sent to the sales managers of six local area Ford dealers.

Three sales managers responded immediately by faxing their very competitive bids to Mr. Stuart, who accepted one of these. It seems that his past experience as a procurement officer for the U.S. Army was useful in civilian life. Do you have a fax machine and a need for a new sports utility vehicle?

TO: _____
Sales Manager of new cars

FROM: Mark R. Stuart Fax: (404)XXX-XXXX

RE: Request for Quotation

If you are interested in earning my business, please reply to me by fax at (404)XXX-XXXX. This is a cash purchase (no trade), subject to sales tax in _____ County. If you do not have this vehicle in stock or on order, I am in no rush and can wait for delivery. Specifications are as follows:

Current Model Year Ford Explorer Limited 4X4
Ivory Pearlescent, Saddle Leather